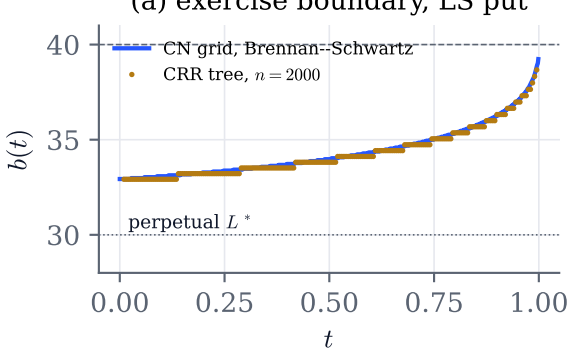
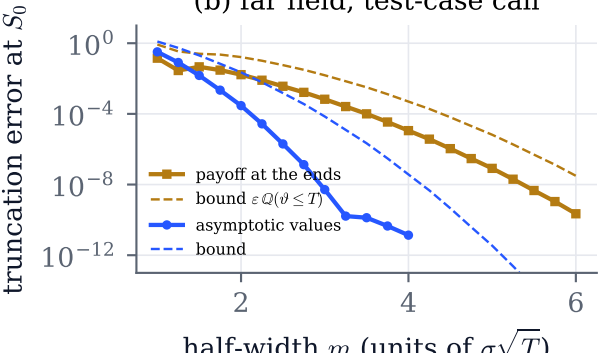

(a) exercise boundary, LS put
CN grid, Brennan–Schwartz
CRR tree, $n = 2000$
perpetual L^*
$b(t)$
40
35
30
0.00
0.25
0.50
0.75
1.00
t


(b) far field, test-case call
truncation error at S_0
10^{0}
10^{-4}
10^{-8}
10^{-12}
payoff at the ends
bound $\varepsilon\,\mathbb{Q}(\vartheta \le T)$
asymptotic values
bound
2
4
6
half-width m (units of $\sigma\sqrt{T}$)